

Measure Your Midlife Money Karma

By the time you're inching toward middle age, money should be coming back to you as a reward for good decisions. But sometimes one bad financial decision can reverse your fortune *overnight*. Great investments are poured into a bad business idea. A family loan wipes out your savings. Adult children chip away at your retirement income. A midlife crisis is solved with a red Ferrari. Take this test to see in what direction your Money Karma is flowing.

1. The kids are finally out of the house (which is almost fully paid for), and you and your partner want to begin enjoying life. The first thing you do is:
 - a) take stock of your money by recording another 90-Day Number, possibly making adjustments to your retirement plans, depending on where you are financially.
 - b) consider putting the house on the market. Might be time to liquidate and downsize.
 - c) book an around-the-world cruise. You deserve it. You've just put two kids through college and the house is almost paid for. Time to splurge.

If you answered A, it's a surefire way to keep your Money Karma flowing in a positive direction. I'm not a fan of making rash financial decisions before understanding all the numbers in play. If you've put your kids through college, bought a lake house, or made any other big midlife commitment, you must reevaluate your finances. One big shift will have a huge impact on when you can retire and on how much. So doing another 90-Day Number exercise is a great way to watch your expenditures.

Scenario B might not be a bad idea, but if you're still making mortgage payments and the end is near, perhaps wait until you're mortgage-free for a little while, saving and investing what were your mortgage payments into a conservative retirement vehicle, such as bonds. And please consult a good real estate agent, and a financial advisor if you plan to liquidate and rent. You want to minimize your